3.1.1 Why businesses exist and mission

Unit 3.1 What is business? · 8 key points

- **Why businesses exist:** to provide goods and services that meet customer needs and create value for owners and other stakeholders
- **Mission:** the overall purpose and values of the business; qualitative and long term
- **Mission statement:** a written summary of the mission, used to guide decisions and communicate purpose
- **Objectives:** measurable targets that turn the mission into action
- Mission → corporate objectives → strategy → functional objectives
- **Why set objectives:** give direction, coordinate departments, provide a basis for decisions, measure performance, motivate staff
- **SMART:** specific, measurable, achievable, realistic, time-bound
- **Limitation:** objectives can quickly go out of date if the market changes